

**FULL DOC, EXPRESS DOC, 1099, BANK STATEMENTS, P&L, AND WVOE****RATE & TERM/CASH OUT**

Max Loan Amount	Min FICO	Max CLTV		
		Primary Residence	Second Home	Investment
\$75,000 - \$350,000	720	90%	80%	80%
	700	85%		
	680	80%	75%	70%
\$350,001 - \$500,000	700	80%	75%	70%
\$500,001 - \$750,000	720	75%	70%	65%

Max CLTV

Bank Statement	85%
P&L	75%
WVOE	75%
Condos	80%
3-4 Unit	75%

DSCR**RATE & TERM / CASH OUT****DSCR – Minimum 1.0**

Max Loan Amount	Min FICO	Max CLTV
\$100,000 - \$350,000	700	70%

Max CLTV

3-4 Unit	65%
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PRODUCT FEATURES

TERM	10, 15, 20, 30-year Fixed Rate – Fully amortizing Loans in the states of IN, KS, MI, SC and WA must amortize on a 365/365 calendar
PRODUCT	Closed end second must have a 1 st lien Concurrent closing ineligible Flex Connect/AUS program ineligible
PREPAYMENT PENALTY	Not permitted on primary residences or second homes
GENERAL ELIGIBILITY	
MANUAL	Where matrix is silent, follow PRIME Connect guidelines for Full Doc and Alt Doc. For DSCR, follow Investor Connect
BUSINESS PURPOSE (DSCR)	All borrowers will be required to sign a Business Purpose & Occupancy Statement prior to funding declaring that the property is, or will be, for commercial business or investment purpose only. See Exhibit 1.
BORROWER	- US citizens - Permanent Resident Alien - Intervivos Revocable Trusts - Non-Occupant Co-Borrower (must be non-occupant co-borrower on the 1st lien) - No changes in property vesting permitted unless removing a co-borrower or adding co-borrowing whose income is not used to qualify - Vesting (DSCR only): Title vesting may be in an LLC as long as the borrower(s) have 25% ownership interest, and it is documented by the organization documentation
INELIGIBLE BORROWERS	- Administrative (GSE) Excluded Party Lists - Any parties to a transaction listed on HUD's Limited Denial of Participation (LDP) list, or the federal General Services - Asylum applicants - Borrowers party to a lawsuit - Borrowers with diplomatic immunity

	- Borrowers without a valid Social Security Number - DACA recipients - Foreign Nationals - Irrevocable, Land, or Blind Trusts - ITIN - Non-Permanent Resident Alien - POA for signing is ineligible - Vesting in retirement vehicles
ELIGIBLE LIEN POSITION	2nd lien only - No existing lien can be subordinated to 3rd position
SEASONING	- Borrower must have owned property for 6 months prior to the application date - Cash-out behind an existing subordinate lien must be seasoned 12 months from closing on the existing subordinate lien
MINIMUM LOAN AMOUNT	\$75,000
MAXIMUM COMBINED LOAN AMOUNT	\$3,500,000
ASSETS	None
RESERVES	Rate & Term – requires 3 months reserves. Reserves based on PITIA on the 1 st and 2 nd lien.
GEOGRAPHICAL RESTRICTIONS	TX 50(a)(5) is ineligible
DOCUMENTATION	1st Lien Note and most recent Mortgage Statement must be provided (must be dated within 30 days of the note date) - If 1st Lien closed in the name of an entity, guarantee and applicable entity documents must be provided (See IC Manual)
INELIGIBLE 1ST LIENS	1st Lien seasoned < 6 months - ARMs (unless loan qualifies at 1st lien life cap payment & can't adjust for {36 months}) - Balloon - CEMA transactions - HELOC - Loan terms > 40 years - Loans in active forbearance or deferment (Prior COVID forbearances eligible if seasoned ≥ 12 months and included in CLTV) - Loans with fixed interest-only with less than five years of the interest-only period remaining from the new CES Note Date - Negative Amortization - Open Renovations - Private Party - Properties with a PACE lien (Unless satisfied w/ subject transaction) - Reverse Mortgage
CREDIT	
DTI	>85% CLTV – Max 45% ≤85% CLTV – Max 50% <700 FICO – Max 45%
CREDIT SCORE	- Qualifying FICO - Full Doc & Alt Doc: Mid-score for the Primary Wage-Earner - DSCR: Highest Mid-score - Min FICO - Full Doc & Alt Doc: 680 - DSCR: 700 - No borrower can have a mid-score <660
ASSUMABLE	Loans are not assumable
DSCR	- DSCR is calculated using the lesser of 1007 or lease - If current lease exceeds market rent, borrower may use that amount up to 115% of market rent with most recent 3 months of evidence of rent receipts - Minimum 1.0 DSCR - Property must have a lease agreement in place
TRADELINE REQUIREMENT	- Each borrower must have 2 tradelines or joint borrowers must have a total of 3 tradelines combined, rated at least 12 months, with activity in the last 24 months - Tradeline may be opened or closed - Eligible tradelines cannot have any derogatory history in previous 24 months - Current housing not reporting on credit can be considered an open trade if supported by bank records (cancelled checks/debits)

	- No authorized user accounts will be used to satisfy minimum tradelines - Non-traditional credit is not allowed as an eligible tradeline								
HOUSING HISTORY	- Minimum 12 months housing/rental history required 0x30x12								
RECENTLY LISTED PROPERTIES	Properties listed for sale in the last 6 months are not eligible								
CREDIT EVENTS	<u>Short Sale, Foreclosure, Deed in Lieu, Default Modification, Notice of Default, 120+ Delinquent and Single Bankruptcy</u> 4-year seasoning required - BK – Ch 7, 11, 13 – based on discharge or dismissal date - Multiple credit events are ineligible								
COLLATERAL									
ELIGIBLE PROPERTY TYPES	- SFR 2-4 units - PUD - Townhome - Warrantable Condo - See Prime Connect/Investor Connect for ineligible property types - Rural Properties Ineligible - Short-Term Rentals Ineligible								
OCCUPANCY	- Owner-Occupied - Second Homes - Investment								
ACREAGE LIMITATION	2 acres								
SOLAR PANELS	- Properties with solar panels are eligible for purchase, however, should not be included in property valuation - Solar panel agreements are permitted in accordance with FNMA guidelines								
TITLE INSURANCE	≤\$250,000 – ALTA Residential Limited Coverage Junior Loan Policy insuring the second lien amount >\$250,000 – ALTA Standard Coverage Policy insuring the second lien amount								
VALUATION	- Full Appraisal Required for: > \$250,000 2nd UPB > 80% CLTV 1-unit SFR w/ ADU 1-unit with UPB ≤ \$250,000 2nd and AVM confidence score of “Low” 2-4 units - DSCR loans (with rent schedule) - HPMLs 2055 Exterior Appraisal Allowed for 1-unit SFR with 2nd UPB ≤ \$250,000 and AVM confidence score of “Medium” or “High” - Desk Review not required on CES								
INCOME/EMPLOYMENT									
INCOME DOCUMENTATION	<table><tr><td><i>Follow Prime Connect Full Doc (2 year)/Express Doc (1 year)</i></td><td><i>Follow Prime Connect 12/24 Month Bank Statement</i></td><td><i>Follow Prime Connect 12/24 Month Profit & Loss</i></td><td><i>Follow Prime Connect Written Verification of Employment</i></td></tr><tr><td> - Wage Earner – most recent YTD paystub or Electronic VOE (i.e., The Work Number) and 1 or 2 years W2 - Self-Employed = 1 or 2 years personal & business tax returns w/YTD P&L </td><td> 12-or-24-month Bank Statements. 50%, 20%, or CPA provided expense factor </td><td> 12-or-24-month P&L statement - Completed by CPA/EA/CTEC </td><td> - FNMA Form 1005 - Only source of income is wages/salary </td></tr></table>	<i>Follow Prime Connect Full Doc (2 year)/Express Doc (1 year)</i>	<i>Follow Prime Connect 12/24 Month Bank Statement</i>	<i>Follow Prime Connect 12/24 Month Profit & Loss</i>	<i>Follow Prime Connect Written Verification of Employment</i>	- Wage Earner – most recent YTD paystub or Electronic VOE (i.e., The Work Number) and 1 or 2 years W2 - Self-Employed = 1 or 2 years personal & business tax returns w/YTD P&L	12-or-24-month Bank Statements. 50%, 20%, or CPA provided expense factor	12-or-24-month P&L statement - Completed by CPA/EA/CTEC	- FNMA Form 1005 - Only source of income is wages/salary
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Refer to UW Guidelines for complete guidance and document requirements per Doc Type									

EXHIBIT 1

BUSINESS PURPOSE & OCCUPANCY AFFIDAVIT (the “Affidavit”)

LOAN NO: _____ (the “Loan”)

BORROWER(S): _____

PROPERTY ADDRESS: _____ (the “Property”)

I, the undersigned borrower(s), hereby declare that the following is true and correct:

1. **I have applied for this Loan and am seeking financing for the Property for business purposes only.** I do not intend to use the proceeds of the Loan for personal, family, or household purposes.
2. **The proceeds of the loan will be used to purchase, improve, or maintain the Property, and I intend to operate the Property as one or more rental units for profit.** If I have not executed a lease with a tenant (or tenants) at or before closing of the Loan, I intend to, and will, use commercially reasonable methods and effort to obtain a tenant (or tenants) for the Property following closing of the Loan.
3. **Neither I nor any family member intend or expect to occupy the Property at any time. I will not, under any circumstances, occupy the Property at any time while the Loan remains outstanding.** In addition, I will not claim the Property as my primary or secondary residence for any purposes for the duration of my Loan. I now reside, and for the duration of my Loan will continue to reside, elsewhere.
4. **I understand that Lender originating the Loan in reliance upon this Affidavit.** If this Affidavit is not true and correct, and in consideration of Lender making the Loan, I agree to indemnify Lender and its agents, affiliates, subsidiaries, parent companies, successors and assigns and hold them harmless from and against any and all loss, damage, liability or expense, including costs and reasonable attorneys’ fees, which they may incur as a result of or in connection with my misrepresentation. I further understand that any misrepresentation in this Affidavit will constitute an Event of Default under my Loan Documents, and may result in the immediate acceleration of my debt and the institution of foreclosure proceedings, eviction, and any other remedies allowable by law.
5. **I understand that the agreements and covenants contained herein shall survive the closing of the Loan.**
6. **I understand that, based on the contents of this Affidavit, the Loan is a business-purpose loan secured by non-owner-occupied real property.** I understand that this means that the Loan may not be subject to the requirements of certain federal and state consumer protection, mortgage lending, or other laws, including but not limited to the provisions of the federal Truth-in-Lending Act (15 U.S.C. §§ 1601 *et seq.*) and its implementing Regulation Z (12 C.F.R. Part 1026), and that my ability to avail myself of protections offered under federal and state laws for consumer-purpose residential mortgage loans may be limited.
7. **I understand that any false statements, misrepresentations, or material omissions I make in this Affidavit may result in civil and criminal penalties.**

Initial(s):

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Borrower(s) / Borrowing Entity Members:

_____ Date

NOTARY PUBLIC

_____ Date